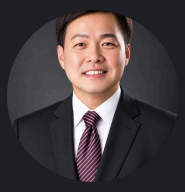
JASON CHOI
REAL ESTATE

FREE GUIDE

BUSINESS SALE STRUCTURES · 2026

Asset Sale vs. Share Sale

A plain-language comparison for buyers and sellers of gas stations, hotels, car washes, restaurants and other businesses in Alberta and British Columbia.



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1. The Basic Difference

	Asset Sale	Share Sale
What the buyer gets	Specific assets: equipment, inventory, goodwill, name, and sometimes the land and building	The shares of the company — the whole company, with everything inside it
Seller's company	Stays with the seller, with its past debts and obligations	Goes to the buyer
In one sentence	**The buyer chooses what to buy.**	**The buyer gets everything — including what they cannot see.**

This one difference drives most decisions about how a deal is structured. Buyers usually prefer an asset sale (less risk). Sellers usually prefer a share sale (less tax).

2. Side-by-Side Comparison

Tax

Topic	Asset Sale	Share Sale
Lifetime Capital Gains Exemption (LCGE) — seller	Not available on the company's sale of assets	Individual sellers may shelter up to **$1.25 million** of gain on qualifying small business shares (for sales on or after June 25, 2024; indexed from 2026)
Recapture of depreciation (CCA) — seller	If equipment or buildings sell for more than their tax value, the difference is taxed as income	No recapture for the seller — the company's tax pools stay inside the company
Tax layers — seller	Company pays tax on the sale, then owners pay tax again when taking money out	Usually one layer: capital gains tax (50% inclusion rate), possibly sheltered by the LCGE
Depreciation — buyer	Buyer depreciates assets at the price paid → **larger future tax deductions**	Buyer inherits the company's old (often low) tax values → smaller deductions
GST	5% GST may apply, unless both parties file a **Section 167 election** (sale of a going concern)	No GST on shares
BC Property Transfer Tax	Applies to land and buildings: 1% / 2% / 3% (commercial property over $2M)	Generally does not apply (get legal advice)

Alberta land title fees	$50 + $5 per $5,000 of value (about $1,000 per $1 million)	No transfer registration

Risk and Liabilities

Topic	Asset Sale	Share Sale
Past debts, lawsuits, CRA audits	Stay with the seller's company	**Transfer to the buyer**, including unknown ones
Environmental contamination	Allocated in the agreement; pre-closing issues can stay with the seller	All past contamination is inside the company — critical for gas stations
Employees	Buyer chooses whom to hire; seller settles past entitlements (union rules may still apply)	All employees, contracts and accrued vacation transfer to the buyer
WCB history	Buyer starts a new account	Claims history and rates transfer

Contracts, Licences and Timing

Topic	Asset Sale	Share Sale
Lease	Landlord consent needed to assign	Lease stays, but many leases treat a change of control as an assignment
Franchise / fuel brand	Transfer or new agreement; franchisor approval	Usually still needs approval under change-of-control clauses
Liquor, lottery, tobacco, fuel licences	New applications in the buyer's name (AGLC in Alberta; LCRB in BC) — allow time	Licences stay with the company; the regulator may still review the new owners
Due diligence	Focused on the assets and the business performance	Full company history: 5+ years of tax returns, minute books, contracts, litigation
Typical timeline	60–120 days	90–150+ days
Legal fees (buyer, typical)	Lower	Higher — broader review

3. Key Tax Points in More Detail

GST Section 167 election

When a business is sold as a going concern, the buyer and seller can jointly elect so that no GST is charged on the assets. Generally, the buyer must be GST-registered, the buyer must acquire all or

substantially all of the assets needed to run the business, and form GST44 must be filed on time. **If the election is missed, GST may be owed** — $100,000 on a $2 million deal. Plan it with both accountants before closing.

BC Property Transfer Tax — commercial example

Property value	PTT
$2,000,000	$2,000 + $36,000 = **$38,000**
$4,000,000 (commercial)	$38,000 + 3% × $2,000,000 = **$98,000**
Note	An extra 2% applies only to the **residential** portion over $3 million

Lifetime Capital Gains Exemption (LCGE)

- Available only to **individual** shareholders — not to a corporation.
- Shares must generally be held for 24 months, and at the time of sale about 90% or more of the company's assets must be used in an active business in Canada.
- Holding companies, investments or extra cash inside the company can disqualify the shares. **Planning often takes 12–24 months before a sale.**
- The capital gains inclusion rate remains **50%** (the proposed increase was cancelled in March 2025).

4. Industry Notes

Business type	Usual structure	Why
Gas station	Asset sale strongly preferred	Environmental liability (tanks, past spills) and cash-business CRA risk. Most lenders will not finance a share purchase without extra protection.
Hotel / motel	Asset sale most common	Fresh start with staff and brand, better depreciation, lender preference. Share sales happen on larger deals with full due diligence.
Car wash	Asset sale usually preferred	Wastewater permits, equipment, and prepaid membership obligations.
Restaurant / retail	Asset sale most common	Simpler due diligence; lease assignment is the key step.
Business with a liquor licence	Either	A share sale can keep the licence active during the transition; an asset sale needs a new licence.

5. When Buyer and Seller Disagree

Tool	How it helps
Price adjustment	A seller who accepts an asset sale often asks a higher price; a buyer who accepts a share sale often asks a lower price. Each side's accountant should model the after-tax result of both.
Pre-sale reorganization	With planning (often 6–18 months), the seller can move the business into a clean company and sell its shares. Needs a tax specialist.
Holdback / escrow	Part of the price is held back to cover specific risks (CRA audit, environmental work).
Earn-out	Part of the price depends on future results — useful when the parties disagree on value.
Vendor take-back (VTB)	The seller finances part of the price, which keeps the seller invested in a smooth transition.
Representations & warranties insurance	Insurance covers breaches of the seller's promises; more common on larger deals.

6. Quick Checklist

Points toward an asset sale	Points toward a share sale
Environmental risk (gas station, industrial)	Seller qualifies for the LCGE
Buyer wants larger depreciation deductions	High-value BC property (PTT savings)
Seller's company has a complicated history	Many contracts or licences that are hard to transfer
Buyer wants only some of the assets	Clean company history and records
Lender requires it	Experienced buyer comfortable with full due diligence

Buying or selling a business?
The structure of the deal can matter as much as the price. I work with your lawyer and accountant from the start. Call or text **(403) 399-8124**, email **CalgaryJason@gmail.com**, or visit **jasonchoirealestate.com**. English and 한국어.

This guide is general information only and is not legal, tax or accounting advice. Tax rules and thresholds reflect our understanding as of November 2026 and can change. Every transaction is different. Buyers and sellers must get independent

advice from a lawyer and a tax accountant before signing any agreement. Prepared by Jason Choi, REALTOR®, First Place Realty. Information believed accurate but not guaranteed.